

BOOM OR BUBBLE

Crypto Surge & Bitcoin Might Hit \$100K - Is It Still A Bubble

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It sometimes blows our mind that a single Bitcoin was worth approximately \$8000 in February 2020. After a ruined-by-pandemic year, the cryptocurrency token has not only quadrupled its value, reaching the five-digit figure of \$49,000+ but also witnessed the coin's all-time high of \$58,000+. It fallen off a little since then, but it's still pretty high. All this happened when economies worldwide struggle to catch up to normalcy and compensate for the loss that the COVID-19 pandemic has entailed.

Judging this impressive growth the cryptocurrency coin has attained in such a short period, it's no longer considered total hogwash when a crypto investment guru suggests that Bitcoin might hit \$100,000 in a few years. More importantly, this surge in Bitcoin's value has been called the 2021 crypto boom since other cryptocurrencies also gained traction. But, given that we cannot analyze Crypto Assets using the same criteria used for traditional assets, we have to ask a few questions.

Is there something we fail to notice amidst this Bitcoin boom? Does Bitcoin stand a chance against traditional forms of asset? More importantly, is this crypto surge the beginning of a market bubble that will burst eventually? Answering these

questions will help us understand where Bitcoin is moving in terms of value and whether you should hold your investments. This could also be the only way to overcome the multitude of hurdles decentralized cryptocurrency investments pose in front of traders.

WHAT ARE WE NOT SEEING HERE?

The biggest mistake people make during a price surge is that they fail to notice the currents in the opposite direction. The same things seem to have happened with the 2021 Bitcoin boom. Sure, following a couple of announcements from big names like Tesla and Elon Musk and some reliable investment decisions from top-tier companies, Bitcoin's price started to surge and hit \$58,000+ on February 22, 2021. Of course, investors rejoiced since the number meant that anyone who has purchased or mined Bitcoin at any point in time had a chance of profit. Something that many investors have failed to notice are a few other things, though.

A day after it reached the ATH milestone, on a Sunday, the value of Bitcoin took a hit, bringing it down by a whopping \$10000+, and ended the day at less than \$48,000. Apparently, a couple of comments from famous investors and influential evangelists were enough to take

Bitcoin away from the milestone it just achieved. Market analysis also tells us that Bitcoin has not surpassed the \$50,000 mark since then. It has maintained its value between \$45,000 and \$50,000. While this is almost double the value Bitcoin was trading at the start of 2021 — nearly \$28,000 — the plunging value asks us to focus on the factors behind these moves.

Investors also seem to have forgotten a few events from Bitcoin's past. The point in question is the Bitcoin crash that occurred in 2017 when the value of Bitcoin reached a low point of \$5,000 from a then-impressive figure of \$19,000+. The pattern of the bubble was uncannily similar to what is happening now. Once upon a time, the value of Bitcoin fell down by 45%, bringing the price down to \$11,000. Just five days prior to this in 2017, BTC was at its then-All-time high. If something like this were to happen now, the repercussions would be massive.

Unlike those days, we now have many bullish investors who consider Bitcoin as 'digital gold' as well. The reason for the assumption is that Bitcoin has not seen a downfall in value since the 2017 bubble burst. Now, investors are optimistic that, if Bitcoin could survive the COVID-19 pandemic at its early stages, it will perform better in the recovery